

Supplier Quality Management

Purpose

This procedure defines the process for evaluating, qualifying, and monitoring suppliers of materials and services at Acme Corporation.

Scope

This procedure applies to all suppliers of raw materials, components, and services that affect product quality.

Definitions

Approved Supplier List (ASL): The list of suppliers who have been qualified to provide materials or services.

Incoming Inspection: The verification activity performed on received materials to confirm they meet specified requirements.

Supplier Scorecard: A periodic evaluation of supplier performance across quality, delivery, cost, and service.

Procedure

Step 1: Supplier Qualification

New suppliers must complete the qualification process before being added to the Approved Supplier List:

1. Submit the Supplier Qualification Questionnaire.
2. Provide quality certifications (ISO 9001, IATF 16949, or equivalent).
3. Submit initial sample for First Article Inspection per WI-055.
4. Complete a supplier audit (on-site or remote) per SOP-QA-008.
5. Receive QA Manager approval for ASL addition.

Step 2: Incoming Inspection

Each receipt of material is subject to incoming inspection:

1. Verify the material matches the purchase order.
2. Check the certificate of analysis or certificate of conformance.
3. Perform inspection per the material specification:
 - Dimensional inspection using calibrated equipment
 - Visual inspection per WI-042 criteria
 - Functional testing if specified
4. Record inspection results in the receiving report.
5. Apply acceptance status label (green = accepted, red = rejected, yellow = quarantine).

Step 3: Non-Conforming Material

When incoming material is found non-conforming:

1. Tag the material as “REJECTED” and move to the quarantine area.
2. Initiate an NCR per SOP-QA-012.
3. Notify the purchasing department and the supplier.
4. Coordinate material return or disposition with the supplier.
5. If the supplier provides replacement material, re-inspect per Step 2.

Step 4: Supplier Performance Monitoring

QA evaluates supplier performance monthly using the Supplier Scorecard:

Category	Weight	Metrics
Quality	40%	PPM defective, NCR rate, audit score
Delivery	30%	On-time delivery percentage
Cost	20%	Price competitiveness, cost reduction
Service	10%	Responsiveness, technical support

Scorecard results are shared with suppliers quarterly.

Step 5: Supplier Corrective Action

When a supplier’s scorecard falls below 70% or a critical NCR occurs:

1. Issue a Supplier Corrective Action Request (SCAR).
2. Require the supplier to perform root cause analysis and implement corrective action.
3. Verify the corrective action through documentation or on-site audit.
4. Place the supplier on probation if corrective action is ineffective.

Step 6: Supplier Removal

A supplier is removed from the ASL when:

- Three SCARs in 12 months without improvement
- Quality score below 50% for two consecutive quarters
- Critical safety or regulatory non-conformance
- Failure to implement corrective action within 60 days

Related Documents

- SOP-QA-008: Internal Audit Procedure
- SOP-QA-012: Non-Conformance Report Procedure
- WI-055: First Article Inspection Procedure
- WI-042: Visual Inspection Criteria for Finished Products

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